

POLICY BRIEF

UNLOCKING KENYA'S YOUTH ECONOMY

A Five-Pillar Framework to Bridge the Youth Capital Gap

POLICYBRIDGE KE

Youth voice shaping Kenya's future

TUESDAY, 07 APRIL 2026

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ABOUT POLICYBRIDGE KE

Policy Bridge KE is a civic-tech platform built by young people, for young people, rooted in the belief that Kenya's youth hold real, practical solutions to the country's most persistent challenges.

The platform flips the traditional model of youth engagement. While many platforms focus on describing problems, we bridge the gap toward action. Instead of asking youth only to identify problems, PolicyBridge KE uses research and policy analysis to define key development challenges aligned with **Vision 2030** and the Sustainable Development Goals (**SDGs**) and then asks a more powerful question: **What solution do you propose?**

Our platform removes barriers: no registration, no sign-up walls and no unnecessary bureaucracy. Solutions submitted through the platform undergo a structured process:

1. Policy challenge publication.
2. Youth solution submissions.
3. Community voting.
4. Policy brief development.
5. Stakeholder engagement and policy tracking.

This approach ensures that youth participation is embedded at every stage of policymaking, from identifying challenges to shaping implementable solutions.

ACKNOWLEDGMENTS

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Every effort has been made to verify the accuracy of the information contained in this publication.

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EXECUTIVE SUMMARY

For many young Kenyans, self-employment and microenterprise creation are structural economic necessities rather than lifestyle choices. Each year, more than **one million** young people enter the labour market, yet the formal sector absorbs less than **15 per cent** of them. As a result, most youth transition into informal entrepreneurship, gig work, creative industries, and microenterprises as their primary pathways to economic participation. Despite this entrepreneurial dynamism, youth-led enterprises in Kenya remain systematically undercapitalised. An estimated **75 per cent** of youth-led MSMEs fail within their first three years, largely due to financing constraints rather than lack of ideas, talent or market opportunities. Kenya's youth face a persistent, structural problem of capital exclusion, despite significant policy efforts to address it.

The Government of Kenya has introduced several interventions to expand financial inclusion, including [the Youth Enterprise Development Fund](#), [the Uwezo Fund](#), [the Hustler Fund](#), [the Women Enterprise Fund](#), and [the National Youth Opportunities Towards Advancement \(NYOTA\)](#) project. Complementary reforms such as the enactment of [the Movable Property Security Rights Act \(MPSR\)](#) and the establishment of [the Credit Guarantee Scheme \(CGS\)](#) were also designed to unlock collateral-free lending and expand MSME financing. However, the cumulative impact of these initiatives has remained limited. Youth enterprises continue to operate under severe financing constraints, remaining largely informal, undercapitalised and vulnerable to early failure.

This policy brief argues that the challenge facing youth entrepreneurship in Kenya is not primarily a shortage of public funds, but rather the persistence of **structural barriers embedded within the financial ecosystem itself**. These barriers include (a) asset-based collateral rigidity, which excludes youth who lack land or other traditional security; (b) fragmented public financing systems, which reduce transparency and dilute available capital; (c) weak risk-sharing instruments, which discourage commercial lenders from extending credit to youth enterprises; (d) the absence of structured mentorship, which increases business failure rates after capital disbursement; and (e) structural bias within traditional credit scoring systems, which systematically exclude first-time borrowers and informal entrepreneurs.

Addressing these barriers requires a shift from fragmented grant-based interventions toward systemic financial architecture reform. To achieve this, the policy brief proposes a **Five-Pillar Reform Framework** designed to unlock youth entrepreneurship at scale:

- **Pillar I:** Establishment of a Youth Credit Guarantee Scheme (**YCGS**) to de-risk youth lending and crowd in private-sector capital.
- **Pillar II:** Creation of a Unified Digital Youth Capital Portal to consolidate all youth financing programs into a single transparent gateway.
- **Pillar III:** Introduction of Mentorship-Linked Lending to ensure that capital is paired with structured entrepreneurial support.
- **Pillar IV:** Implementation of Corporate Youth Procurement Targets, to unlock market access by encouraging large corporations to allocate at least **5 per cent** of procurement to youth enterprises.
- **Pillar V:** Credit Scoring System Reform to incorporate alternative financial data to expand credit access for first-time youth borrowers.

These five pillars are mutually reinforcing. Together, they address structural bottlenecks across Kenya's financing ecosystem while mobilising both public and private capital to support the growth of youth-led enterprises.

The proposed framework is fiscally prudent, regulatorily feasible and aligned with [Kenya's Vision 2030](#) development strategy and [the Sustainable Development Goals](#), particularly **SDG 8** on Decent Work and Economic Growth. Rather than expanding dependency on government grants, the reforms focus on crowding in private-sector lending, improving risk-sharing mechanisms and strengthening market access for youth enterprises.

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ACRONYMS AND ABBREVIATIONS

AGPO	Access to Government Procurement Opportunities.
CBK	Central Bank of Kenya.
CGS	Credit Guarantee Scheme.
CRB	Credit Reference Bureau.
CSR	Corporate Social Responsibility.
CoC	Certificate of Clearance.
ESG	Environment, Social and Governance.
FMO	Dutch Entrepreneurial Development Bank.
GDP	Gross Domestic Product.
IFAD	International Fund for Agricultural Development.
KNBS	Kenya National Bureau of Statistics.
KRA	Kenya Revenue Authority.
MPSRA	Moveable Property and Security Rights Act.
MSME	Micro, Small and Medium Enterprise.
MSEA	Micro and Small Enterprises Authority.
NYOTA	National Youth Opportunities Towards Advancement.
PIN	Personal Identification Number.
PFI	Participating Financial Institution.
R-CGS	Rural Credit Guarantee Scheme.
RPL	Recognition of Prior Learning.
RWA	Risk-Weighted Assets.
SACCO	Savings and Credit Co-operative Organisation.
SASRA	Sacco Societies Regulatory Authority.
SDG	Sustainable Development Goals.
SME	Small and Medium Enterprise.
SAFER	Supporting Access to Finance and Enterprise Recovery.
USSD	Unstructured Supplementary Service Data.
YCGC	Youth Credit Guarantee Company.
YCGS	Youth Credit Guarantee Scheme.
VaR	Value at Risk.

THE YOUTH CAPITAL GAP IN KENYA

Kenya's demographic profile presents both opportunity and risk.¹ A youthful population can accelerate economic growth when productive systems are inclusive and can absorb young workers. When exclusion persists, demographic pressure contributes to unemployment, expansion of informality and potential social instability. According to the Kenya National Bureau of Statistics **2019** Population and Housing Census, one in ten young people aged **15-34** years is not employed nationally.² Counties with the highest proportions of unemployed youth include Turkana, Marsabit, Mandera, Wajir, Isiolo, Garissa, Tana River, Nairobi and Mombasa, each at more than **15.7 per cent**.³ Labour market structure further illustrates the scale of the challenge. The **2025** Highlights of the Economic Survey Plan, published by the Kenya National Bureau of Statistics, indicates that **83.6 per cent** of the working Kenyan population, equivalent to approximately **17.4 million** people, is engaged in informal employment, while only **16.4 per cent**, about **3.4 million** people, is employed in the formal sector.⁴ In response to these structural realities, both employed and unemployed youth have increasingly turned to entrepreneurial activity. Youth-led enterprises are especially prominent in creative industries, informal trade, digital services, agribusiness, and vocational production.⁵ Despite this entrepreneurial dynamism, financial exclusion remains widespread. Young entrepreneurs frequently encounter barriers linked to perceptions of structural risk, limited collateral, and restrictive asset-based lending requirements. Evidence records that Kenya's MSME finance gap stands at approximately **KES 1.9 trillion** or **USD 19 billion** (i.e., **6%** of Sub-Saharan Africa's

¹ See, Irene Muhunzu (NCPD), Lucy Kimondo (NCPD) and Salome Mutie (NCPD, 'Demographic Diversity in Kenya' <https://ncpd.go.ke/wp-content/uploads/2025/07/1.ICPD30-Policy-brief_Demographic-Diversity.pdf> accessed 2 March 2026.

² Kenya National Bureau of Statistics (2019) Population and Housing Census Kenya Population & Housing Census Atlas - Adolescents, Youth, References and Contributors' <<https://www.knbs.or.ke/reports/kenya-census-2019/>> accessed 2 March 2026.

³ Ibid.

⁴ Kenya National Bureau of Statistics Highlights of the Economic Survey (2025) <<https://www.knbs.or.ke/reports/2025-economic-survey/>> accessed 2 March 2026.

⁵ See, for instance, Alam AU, 'Youth Entrepreneurship: Concepts and Evidence', Issue brief | February 2019, Office of Global Insight and Policy <<https://www.unicef.org/media/72406/file/Youth-entrepreneurship-concepts-and-evidence-issue-brief-2019.pdf>> classifying different youth enterprises based on their mission objective, development stage, motivation, and growth potential.

MSME finance gap).⁶ Youth-led enterprises specifically face a **KES 500 billion** MSME financing gap. Addressing these constraints requires institutional reform that expands access to finance and opportunity within the productive economy. Policy responses that focus solely on behavioural change among youth are unlikely to resolve structural barriers embedded within financial and economic systems.

WHY YOUTH ACCESS TO CAPITAL IS A STRUCTURAL POLICY ISSUE

Capital markets operate within regulatory and fiscal frameworks designed by public policy. Put in context, youth exclusion from capital markets is predominantly an outcome of structural regulatory choices rather than an individual failure on the part of the youth. To illustrate, several current barriers, including, among others, those discussed in Part 3 below, the following are policy-created—

- 1 Limited state-backed guarantees.
- 2 Asset-based collateral rules that favour assets such as land logbooks.
- 3 A fragmented digital infrastructure under which Government funds operate in silos without interoperability.
- 4 Weak post-disbursement oversight systems.
- 5 Credit scoring systems rely on formal financial histories.

These are policy design variables. In other words, the lack of access to capital by youths is a result of the market behaving rationally under existing rules. To resolve the challenge, reform must therefore address system design.

DIAGNOSIS: STRUCTURAL FAILURES IN THE CURRENT ARCHITECTURE

In this part, we diagnose the major structural failures in both the public capital systems through the government initiatives and the private/commercial capital systems.

Fragmentation of Youth Funds

The Government of Kenya has initiated, at different times, many interventions through multiple funds, such as [the Youth Enterprise Development Fund](#), [the Uwezo Fund](#), [the Hustler Fund](#), the

⁶ Witness S, Ruigu R and Ihaji E, 'Transforming the MSME Industry in Kenya' Ipsos Kenya for Safaricom Plc with funding and support from FSD Kenya <<https://www.fsdkenya.org/wp-content/uploads/2024/06/Micro-Small-and-Medium-Enterprises-outlook-report.pdf>>

[Women Enterprise Fund](#) and [the National Youth Opportunities Towards Advancement \(NYOTA\)](#) project, targeting the youth. However, each fund has—

- 1 Separate application systems;
- 2 Separate reporting frameworks;
- 3 Separate eligibility criteria; and
- 4 Limited interoperability.

This fragmentation increases transaction costs for applicants, reduces transparency and as a result, youth perceive public capital systems as bureaucratic and politicised.

Collateral Rigidity

Risk assessment for commercial lenders remains primarily asset-based rather than cash-flow-based. Therefore, although fintech lending has expanded, it primarily targets consumer lending rather than growth capital. Further, the Movable Asset Registry, which exists under [the Movable Property Security Rights Act](#), remains underutilised despite the objects of this Act being to (a) promote consistency and certainty in secured financing relating to movable assets, (b) enhance the ability of individuals and entities to access credit using movable assets and (c) establish the office of the Registrar and a Registry to facilitate the registration of security rights in movable assets.⁷ So, on the one hand, most youth lack titled land or registered property, and on the other hand, they have limited knowledge of [the Movable Property Security Rights Act](#) and how it drastically improves their access to capital.

Absence of Risk-Sharing at Scale

The current Credit Guarantee Scheme (CGS), rolled out on **8 December 2020**, under [the Public Finance Management \(Amendment\) \(No.2\) Act, 2020](#), and [the Public Finance Management \(Credit Guarantee Scheme\) Regulations, 2020](#) aims to enhance access to credit for Micro, Small and Medium Enterprises (**MSMEs**) through innovations and partnerships in the provision of credit guarantees.⁸ As of **December 2025**, **KShs. 6.67 billion** loans had been disbursed to **4,370**

⁷ [The Movable Property Security Rights Act](#), section 3.

⁸ 'The National Treasury and Economic Planning Ministry, Credit Guarantee Scheme' <<https://cgs.treasury.go.ke/>> accessed 2 March 2026.

beneficiaries under the CGS. Of these beneficiaries, only **264**, equivalent to **6%** only, were youths.⁹

Capital Without Capability

Although youth default rates for both public and commercial system lending are primarily attributed to youth irresponsibility, evidence suggests otherwise. Specifically, this evidence demonstrates that failure rates correlate strongly with (a) weak bookkeeping, (b) market access constraints, (c) lack of structured mentorship, and (d) cash-flow volatility.¹⁰ These empirical-based studies collectively demonstrate that capital deployed without post-disbursement support becomes high-risk capital.

Credit Scoring Systems and Formal Financial History Structural Barriers

Traditional credit scoring methodologies create a systemic exclusion mechanism for youth in Kenya by requiring formal financial histories that, as earlier stated, young people inherently lack. To be sure, the credit scoring system is not a reflection of creditworthiness or repayment capacity, but rather an institutional design flaw that penalises market entrants, given that only **21 per cent** of youth have access to formal prudential and non-prudential services and products and most youth are excluded from financial services and products, with **59 per cent** in rural areas and **36 per cent** in urban areas.¹¹ Evidence demonstrates that conventional scoring systems systematically exclude youth and first-time borrowers despite their ability to repay and that alternative credit assessment mechanisms can effectively identify creditworthy youth entrepreneurs while expanding access to capital.¹²

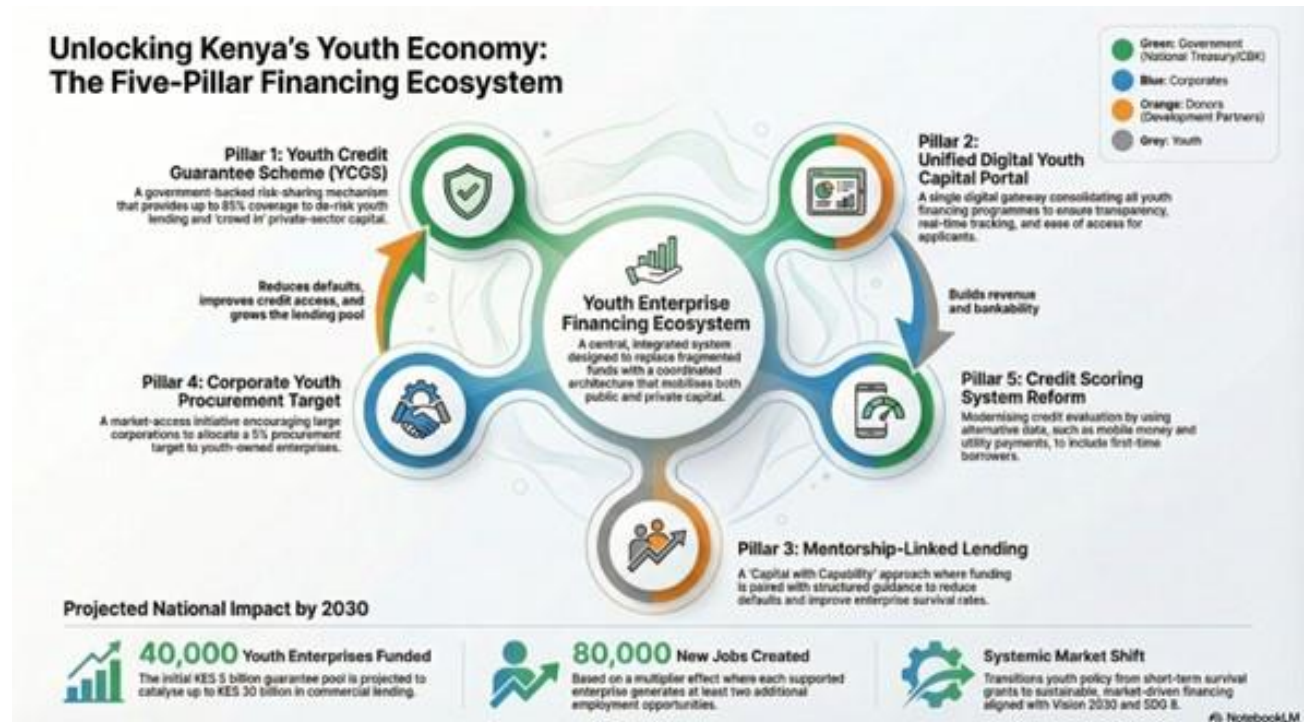
⁹ Ibid.

¹⁰ See, among others, Leonard S, 'Group, Business and Lender Characteristics Influencing Loan Default in Uwezo Fund By Youth Groups In Endebess Constituency, Trans-Nzoia County, Kenya (LLM Theses, Kenyatta University 2023)<<https://ir-library.ku.ac.ke/server/api/core/bitstreams/a55bedbf-bb44-47ae-a4609d6079db39b9/content>> accessed 2 March 2026. See also Harriet Gesare Mairura, 'Factors Affecting Financial Inclusion Among The Youth In Kenya: A Case Self-EmploymentOf Utawala, Nairobi' (MBA United States International University Africa,2024)<<https://erepo.usiu.ac.ke/bitstream/handle/11732/8316/Mairura%20Harriet%20Gesare%2C%20MBA%202024.pdf?sequence=1&isAllowed=y>> accessed 2 March 2026. See also 'Underwriting Based on Cash Flow Helps Younger Entrepreneurs Access Credit' (NBER) <<https://www.nber.org/be/20252/underwriting-based-cash-flow-helps-younger-entrepreneurs-access-credit>> accessed 2 March 2026.

¹¹ Kenya Institute for Public Policy and Research and Analysis (KIPPRA), 'Status of Access to Agri-Finance by Youth and Women in Kenya Special Paper No. 28 2019' (2019) <<https://kippra.or.ke/wp-content/uploads/2021/02/SP28.pdf>> accessed 2 March 2026.

¹² See, for instance, 'ASIGMA Group, Transformative Strategies to Enable Access to Finance for Youth and Women

THE PROPOSED YOUTH CAPITAL ACCESS SYSTEM



The proposed Youth Capital Access System, aimed at resolving the above structural design problems, rests on **five (5)** integrated pillars, each reinforcing the other—

- **Pillar I:** A Youth Credit Guarantee Scheme (**YCGS**).
- **Pillar II:** A Unified Digital Youth Capital Portal.
- **Pillar III:** Mentorship-Linked Lending.
- **Pillar IV:** Corporate Youth Procurement Target.
- **Pillar V:** Credit Scoring System Reform.

in Africa (2025)' <<https://asigmagroup.com/insights/transformational-strategies-to-enable-access-to-finance-for-youth-and-women-in-africa/>> accessed 2 March 2026. See also 'Financial Sector Deepening (FSD)-Newsletter-Issue-No.25.Pdf' (2013) <https://www.fsdkenya.org/wp-content/uploads/2021/08/Archive%20data%20FSD/13-08-12_FSD-Newsletter-issue-no.25.pdf?_t=1611215726> accessed 2 March 2026. See also Susannah Horton, Helena Molina, Ammar Khalid, Patteera (Mae) and Chaladmanakul, 'Unlocking Finance For Youth Entrepreneurs: Evidence from a Global Stocktaking' (World Bank Group, 2020) <https://www.gpfi.org/sites/gpfi/files/sites/default/files/unlocking_finance_youth_entre.pdf> accessed 2 March 2026. See also, MicroSave Consulting, '240321-Indigenous-Financial-Services-Research-in-Kenya-Ghana-and-Togo-Final-report_PA_VP-RGnm.Pdf' (2023) <https://www.microsave.net/wp-content/uploads/2024/03/240321-Indigenous-Financial-Services-Research-in-Kenya-Ghana-and-Togo-final-report_PA_VP-RGnm.pdf> accessed 2 March 2026.

PILLAR I: YOUTH CREDIT GUARANTEE SCHEME (YCGS)

Access to credit remains the single most significant structural barrier preventing young Kenyans from participating fully in the country's economic transformation. While Kenya has introduced several youth-oriented financial programmes, most have relied on small grants or microloans that are insufficient to catalyse scalable economic activity. This policy brief, therefore, proposes establishing a dedicated Youth Credit Guarantee Scheme (**YCGS**) within the existing national credit guarantee architecture administered by the National Treasury.

The proposed YCGS would serve as a structural risk-sharing mechanism among the government, development partners and private lenders to unlock large-scale lending to youth-led enterprises across Kenya's informal, creative, agricultural and digital sectors. Unlike grant-based interventions, a credit guarantee framework leverages public funds to crowd in significantly larger volumes of private-sector capital, making it one of the most fiscally efficient tools available for youth economic empowerment.

Objective

The establishment of the YCGS is grounded in three structural realities within Kenya's youth finance ecosystem. First, existing guarantees are insufficient to shift lender risk perceptions. To illustrate, the current **50 per cent** coverage under the National Treasury's Credit Guarantee Scheme (**CGS**) does not sufficiently reduce the expected loss exposure to change lending decisions. As a result, banks still classify youth enterprises as high-risk borrowers, even where government guarantees exist. This is exacerbated by the high default rate in Financial Inclusion Funds, which reinforces "Lender pessimism", making banks even more reluctant to use the general CGS for youth borrowers.¹³

Secondly, as of December 2025, **KShs. 6.67 billion** loans had been disbursed to **4,370** beneficiaries under the CGS. Yet only **264** of these beneficiaries, equivalent to **6%** only, were youths.¹⁴ The Annual Performance Report for the Credit Guarantee Scheme Micro, Small, and Medium Enterprises (MSMES) from the National Treasury and Economic Planning for the

¹³ Auditor-General, 'Report of the Auditor-General on Financial Inclusion Fund (Hustlers Fund) For the Year Ended 30 June, 2024' <<http://197.232.9.134:80/xmlui/handle/123456789/30527>> accessed 3 March 2026 indicates a **68%** default rate in the Hustler Fund, for instance.

¹⁴ The National Treasury and Economic Planning Ministry, Credit Guarantee Scheme' <<https://cgs.treasury.go.ke/>> accessed 2 March 2026.

Financial Year **2024-2025** has conceded that this could be explained by the fact that most enterprises owned by youth and women are informal and thus not eligible for support under CGS under the current legal framework.¹⁵

Third, the current funding models, starting from the Hustler Fund to the Nyota Fund, frequently suffer from "Consumption Smoothing." Specifically, youth utilise business grants for immediate survival (rent/food), partly due to the small size of the capital provided (as little as **KShs.500** and an average of **KShs. 22,000–50,000**).¹⁶ Social Media commentary on platforms such as TikTok exemplifies the consumption smoothing inherent to the NYOTA Fund.¹⁷

The YCGS, therefore, aims to (a) de-risk youth-led enterprises, (b) unlock dormant private-sector liquidity, (c) replace collateral-based lending with risk-sharing frameworks, and (d) enable youth participation in higher-value sectors of the economy. The proposed architecture transitions from a flat **50 per cent** guarantee model to a tiered risk-sharing structure that reaches up to **85 per cent** coverage, combined with blended-finance mechanisms and asset-linked disbursement systems.

Structural Architecture of the YCGS

Tiered Guarantee Coverage (85 per cent Innovation Trigger)

Evidence from Kenya's financial sector indicates that the **50 per cent** guarantee threshold is insufficient to significantly lower the Risk-Weighted Assets (**RWA**) associated with youth lending portfolios. This policy brief, therefore, proposes a **three-tier guarantee coverage structure**—

- 1 Standard MSME, as under the current CGS, will be eligible for the **50% Coverage**.
- 2 Youth-Owned Trade Enterprises to be eligible for a **70% Coverage**.

¹⁵ The National Treasury and Economic Planning Ministry, 'Annual Performance Report for the Credit Guarantee Scheme Micro, Small, and Medium Enterprises (MSMES) from the National Treasury and Economic Planning for the Financial Year 2024-2025.' <<https://libraryir.parliament.go.ke/handle/123456789/35605>> accessed 3 March 2026. For instance, most youths do not have tax compliance certificates as required by Regulation 10 of the CGS Regulations.

¹⁶ See, for instance, Kenya National Human Rights Commission (KNHRC), 'Failing the Hustlers' 3-5. Pdf' <<https://khrc.or.ke/wp-content/uploads/2025/08/FAILING-THE-HUSTLERS-3-5.pdf>> accessed 3 March 2026.

¹⁷ See, for instance, the posts and comments in: <https://vt.tiktok.com/ZSmTXa2NM/> and <https://vt.tiktok.com/ZSmTXjATg/>

- 3 Youth Innovation/Tech be eligible for an **85%** Coverage. The economic logic for this proposal is that at **85%** coverage, the bank's "Value at Risk" (**VaR**) is reduced to approximately **15%**. This allows the lender to substitute the government guarantee for physical collateral, effectively treating the loan as a high-quality liquid asset.

Such structures already exist in specialised credit guarantee programmes globally and have demonstrated strong catalytic effects on private-sector lending. In Kenya, the [Rural Credit Guarantee Scheme \(R-CGS\)](#) has already piloted this specialisation.

The Blended “First-Loss” Capital Stack

Government funds are often insufficient to cover national demand.¹⁸ That is why we recommend using Development Partners Funds/Grants as a “First-Loss” Buffer. In this structure, if a loan defaults—

- 1 The first **10%** of the loss is paid by a Donor/Grant fund.
- 2 The next **75%** is paid by the Treasury CGS.
- 3 The Bank only absorbs the final **15%**.

The Supporting Access to Finance and Enterprise Recovery (SAFER) project has piloted this with the World Bank to support MSMEs' post-COVID-19 recovery. As of **31 October 2025**, the SAFER project had provided financial support to **38,215** MSME beneficiaries. Youth constituted only **22%** of the beneficiaries, and only **11%** of the loan volume had gone to youth borrowers.¹⁹ Scaling this to youth-led innovation would “crowd in” billions in private commercial lending.

Asset-Linked Disbursement (“The Anti-Diversion” Protocol)

Traditional youth funding programmes frequently disburse funds through direct cash transfers or mobile money channels. While administratively simple, this approach often results in high diversion rates. The YCGS therefore proposes a closed-loop digital disbursement system in

¹⁸ See, for instance, Lion's Head Global Partners, ‘Feasibility Study on a Proposed Credit Guarantee Model for Affordable Housing in Kenya – CAHF | Centre for Affordable Housing Finance Africa (<https://housingfinanceafrica.org/>) <<https://housingfinanceafrica.org/library/feasibility-study-on-a-proposed-credit-guaranteemodel-for-affordable-housing-in-kenya/>> accessed 3 March 2026. PCG was to be primarily funded by the NHDF* from National Treasury budgetary allocations and funding from Insurance and DFIs. However, the GoK will not pursue the capitalisation of the proposed scheme due to budgetary constraints.

¹⁹ ‘Development Projects: Supporting Access to Finance and Enterprise Recovery (SAFER) - P175017’ (World Bank) <<https://projects.worldbank.org/en/projects-operations/project-detail/P175017>> accessed 5 March 2026.

which loan funds are transferred directly to certified equipment or input suppliers rather than to borrowers' mobile wallets. By way of example, a youth borrower seeking financing for a poultry enterprise would receive funding through vouchers redeemable only for incubators, poultry feed, veterinary inputs and production equipment. This ensures that loan capital is immediately converted into productive assets, significantly reducing the risk of diversion.

Kenya's legal framework already supports such arrangements through [the Movable Property Security Rights Act](#), which recognises movable assets and receivables as forms of collateral.

Equity-Matching Grants

Beyond access to credit, youth-led innovation ecosystems require early-stage equity investment. This policy proposes a public-private co-investment mechanism in which the government provides equity-matching grants to youth-led ventures that secure private angel investment. Under this structure, if a private investor contributes **KES 1 million**, the government matches the investment with an additional **KES 1 million**. This model has been widely credited with accelerating innovation ecosystems in countries such as Israel, often referred to as the "Startup Nation".²⁰ A Kenyan adaptation could catalyse growth in the country's rapidly expanding digital and creative sectors.

Initial Fiscal Commitment

An initial guarantee pool of **KES 5 billion** is recommended for the Youth Credit Guarantee Scheme. This capitalisation would be jointly financed by the Government of Kenya, development finance institutions and bilateral development partners. The capitalisation level is modest relative to Kenya's fiscal capacity and aligns with the government's stated commitment to "scale up and streamline credit schemes for youth entrepreneurship."²¹ For comparison, the [Rural Credit Guarantee Scheme \(R-CGS\)](#) has already been capitalised with approximately **KES 2.8 billion** through collaboration between the government and the International Fund for Agricultural Development. That programme leveraged private-sector

²⁰ Central SN, 'Inside Startup Nation Central's Grant Matching Platform' (*Startup Nation Central*, 6 July 2025) <<https://startupnationcentral.org/hub/blog/inside-startup-nation-centrals-grant-matching-platform/>> accessed 3 March 2026.

²¹ 'World Bank Youth-Employment-Initiatives-Report-13515.Pdf' <https://vision2030.go.ke/wpcontent/uploads/2018/05/WB_Youth-Employment-Initiatives-Report-13515.pdf> accessed 3 March 2026.

lending of approximately **KES 11.5 billion**.²² Applying a similar leverage ratio, a **KES 5 billion** youth guarantee pool could catalyse between **KES 20–30 billion** in commercial lending.

Projected Impact

Based on available enterprise financing data, the scheme would prioritise loans averaging approximately **KES 250,000**. This level of capital aligns with the operational needs of youth enterprises in sectors such as agriculture, logistics, retail trade, digital services and manufacturing micro-enterprises. A guarantee pool of this size could support approximately **40,000** youth enterprises. If each enterprise creates two additional jobs, the programme would generate approximately **80,000** new jobs nationwide. Evidence from previous youth employment initiatives supports the notion of such multipliers. For instance, programmes supported by the World Bank have previously generated over **155,000** jobs through youth entrepreneurship support initiatives in Kenya.²³

Institutional Stakeholders

Successful implementation of the Youth Credit Guarantee Scheme requires coordinated participation from multiple institutions.

The National Treasury

Responsibilities include capitalising the guarantee pool, establishing the legal framework and fiscal oversight.

CBK and SASRA

Responsibilities include prudential regulation, risk modelling oversight and coordination with participating lenders.

Participating Financial Institutions

Responsibilities include loan origination, borrower assessment and portfolio management.

²²'Rural Credit Guarantee Scheme (R-CGS) | RK-FINFA' <<https://rkfinfa.go.ke/rural-credit-guarantee-scheme-rcgs>> accessed 3 March 2026.

²³'The Youth Dividend: Investing in Kenya's Next Generation' (World Bank) <<https://projects.worldbank.org/en/results/2025/04/15/the-youth-dividend-investing-in-kenya-s-next-generation>> accessed 3 March 2026.

Role of Development Partners

Co-capitalisation of the Guarantee Pool

Development partners (the World Bank, the African Development Bank, and bilateral donors) contribute matching funds to expand the guarantee pool beyond the initial government commitment.

Technical assistance for Risk Modelling

Providing expertise in credit risk modelling, portfolio monitoring systems and financial inclusion analytics.

Portfolio Monitoring and Evaluation support

Supporting real-time data tracking on default rates, job creation outcomes and enterprise growth metrics. Existing programmes such as the FMO-NASIRA guarantee program in Kenya demonstrate the effectiveness of development partner engagement, where "FMO funding provides a NASIRA loan portfolio guarantee covering loans provided to MSMEs.²⁴

Risk Assessment and Mitigation

Moral Hazard

Borrowers may take excessive risks knowing loans are guaranteed. To mitigate this risk, consider integrating, among others, mentorship-linked lending (Pillar III), phased disbursement structures and strict eligibility screening.

Fiscal Exposure

Large guarantee coverage could increase government liabilities. To mitigate this risk, consider integrating, among others, capped portfolio guarantees, actuarial risk modelling and diversification across sectors.

²⁴Equity Bank Kenya and FMO-NASIRA Sign Guarantee Program for COVID-19 Support Equity Bank Kenya (*Equity Bank Kenya and FMO-NASIRA sign guarantee program for COVID-19 support | Equity Bank Kenya*) <<https://equitygroupholdings.com/ke/newsroom/press-releases/equity-bank-kenya-and-fmo-nasira-sign-guarantee-program-for-covid-19-support/>> accessed 3 March 2026.

Political Interference

Credit allocation could be influenced by political considerations. To mitigate this risk, consider integrating, among others, automated application processes through the unified digital portal (Pillar II), independent oversight committees and transparent reporting dashboards.

Institutional Capacity Constraints

Lenders may lack expertise in evaluating youth-led enterprises. To mitigate this risk, consider integrating, among others, sector-specific lending guidelines, training for loan officers and partnership with entrepreneurship support organisations.

International Benchmarking

Credit guarantee schemes have played a central role in SME development across several economies. Examples include [Chile's FOGAPE SME guarantee system](#), which extends up to **70-80% coverage**, and [India's CGTMSE](#), which extends up to **85%** for micro-enterprises for loans up to **\$6,965**; **50%** for loans between **\$13,930–139,300** for retail traders; and **80%** for women-owned MSEs up to **\$69,500**. These systems demonstrate that well-designed credit guarantees can unlock large-scale private-sector lending while keeping fiscal risk manageable. Adapting such models to Kenya's youth economy could significantly expand financial inclusion and accelerate enterprise development.

PILLAR II: A UNIFIED DIGITAL YOUTH CAPITAL PORTAL

Kenya's youth financing landscape is institutionally fragmented. Multiple government-backed instruments operate in parallel, including [the Youth Enterprise Development Fund](#), [the Uwezo Fund](#), [the Hustler Fund](#), [the Women Enterprise Fund](#) and [the National Youth Opportunities Towards Advancement \(NYOTA\)](#) project. Each programme was introduced with legitimate policy intent. However, their parallel existence has produced systemic inefficiencies, including but not limited to (a) duplication of administrative structures, (b) overlapping eligibility criteria, (c) fragmented beneficiary databases, (d) dispersed disbursement data, (e) weak performance visibility and (f) increased exposure to political capture. Fragmentation reduces effective capital deployment. Specifically, when funds operate independently, (a) administrative overhead multiplies, (b) risk pools remain small and unoptimized, (c) information asymmetry persists, and as a result, many eligible youth do not know all available financing options or

understand eligibility distinctions, and (d) public trust erodes due to opacity and political capture risks.

The Kenya National Human Rights Commission recommended as follows in its Report on the Hustler Fund: *“Parliament and the Executive must decommission the Hustler Fund. The remaining resources should be reallocated to existing, better-structured financial inclusion initiatives with proven performance. Channelling resources into the WEF, YEDF, and Uwezo Fund and integrating lessons from the Hustler Fund’s failure would provide value for taxpayers. Even with this reallocation, safeguards must be implemented to prevent political capture, duplication of roles, and misuse of funds.”*²⁵

The key insight from the KNHRC’s recommendation is structural, that public funding resources are transferable across instruments. If these funding resources can be reallocated when one fund fails, then structural unification is administratively feasible. The question, therefore, is not whether integration is possible but why fragmentation persists. In any event, in **2025**, the Government expressed interest in merging [the Youth Enterprise Development Fund](#), [the Uwezo Fund](#), and [the Women Enterprise Fund](#) into a single entity, the Biashara Fund, to streamline access to financing for small businesses.²⁶ This makes the policy proposal politically feasible.

Objective

This policy proposes the creation of a Unified Digital Youth Capital Portal that: (a) consolidates all youth financing instruments under one digital gateway, (b) harmonises application procedures, (c) centralises data, (d) improves transparency, (e) enhances fiscal accountability, and (f) reduces duplication

Pertinently, this is an integration reform, not a dissolution reform, since funds retain their mandates; only access becomes unified.

²⁵Kenya National Human Rights Commission (KNHRC) (n16), 36.

²⁶‘Government Set to Merge Uwezo, Youth, and Women Enterprise Funds into Biashara Fund | Government Advertising Agency’ <<https://www.mygov.go.ke/government-set-merge-uwezo-youth-and-women-enterprise-funds-biashara-fund>> accessed 11 March 2026.

Core Features

Single Application Entry Point

All youth financing applications should begin through one digital portal. The system should be designed to (a) capture the applicant's data once, (b) assess eligibility across multiple schemes, and (c) automatically route applications to the appropriate fund. This reduces repetitive documentation and confusion.

Real-time status tracking

Applicants can monitor: (a) the Application stage, (b) pending documentation, (c) approval timelines, and (d) disbursement status. This improves trust and reduces speculation of bias.

Public Disbursement Dashboard

The portal should display (a) total funds disbursed by scheme, (b) geographic distribution by county, (c) sectoral allocation, (d) gender breakdown, and (e) youth age bands. Transparency reduces perception of capture and builds fiscal credibility.

Integration with KRA PIN and CRB Data

The portal should establish secure integration with the KRA PIN database and CRB data to enable faster due diligence, reduce fraud, and strengthen credit-scoring integration under Pillar V. This also supports the gradual formalisation of youth enterprises.

Mentorship and Reporting Integration

The portal should integrate (a) mentorship scheduling under Pillar III, (b) quarterly reporting templates, and (c) loan performance dashboards. This creates an integrated youth capital ecosystem rather than isolated interventions.

Cost

The estimated development costs of the Portal are **KES 60-90 million**, and the annual maintenance costs are **KES 15-20 million**. These figures include (a) software development, (b) cybersecurity infrastructure, (c) cloud hosting, (d) data protection compliance, and (e) technical support staff. Given that cumulative youth financing budgets run into the billions annually, the portal's cost is marginal. If administrative duplication is reduced by even **3-5 per cent** across existing funds, the portal effectively pays for itself within two years.

Policy Benefit

- 1 Capital Efficiency-Reduced duplication increases funds available for lending. Larger integrated risk pools improve sustainability.
- 2 Enhanced Transparency-Public dashboards increase fiscal credibility. Development partners gain confidence in monitoring outcomes.
- 3 Reduced Political Capture-Centralised, transparent reporting reduces the risk of manipulation. Digitisation limits discretionary interference.
- 4 Improved Mentorship Coordination-A unified portal becomes the single arena for: (a) financing, (b) mentorship, (c) reporting, and (d) credit progression. This strengthens Pillar III integration.
- 5 Data-Driven Policymaking-Centralised data enables: (a) sector performance tracking, (b) default pattern analysis, (c) regional allocation optimisation, and (d) gender and vulnerability impact monitoring. This strengthens the calibration of Treasury and CBK policies.

Risk Assessment and Mitigation***Institutional Resistance***

Individual funds may resist integration due to loss of autonomy. To mitigate this risk, consider, among others, (a) a governance structure preserving fund mandates, (b) phased integration, (c) an inter-ministerial coordination framework, and (d) a Presidential or Cabinet-level directive.

Cybersecurity Threats

Centralised data increases exposure risk. To mitigate this risk, consider, among others, (a) advanced encryption protocols, (b) independent cybersecurity audits, (c) Compliance with the Data Protection Act and (d) a dedicated IT security budget.

Data Misuse or Privacy Violations

Integration risks data misuse and privacy violations. To mitigate this risk, consider integrating, among others, (a) explicit user consent, (b) data minimisation policies, and (c) oversight by the Office of the Data Protection Commissioner.

Digital Exclusion

Rural youth may face connectivity barriers. To mitigate this risk, consider integrating, among others, (a) USSD application support, (b) Huduma Centre integration and (c) County-level digital support desks.

Centralised Failure Risk

System downtime could disrupt all programmes. To mitigate this risk, consider integrating, among others, (a) redundant cloud hosting, (b) disaster recovery systems, and (c) backup processing protocols.

International Benchmarking

Digital unification models exist globally. European Union countries such as Estonia operate a [centralised e-governance platform](#) that integrates public services. Singapore provides unified SME digital portals, such as the [Singapore Business Grants Portal](#), to consolidate government business support. Rwanda has implemented [integrated digital government platforms](#), improving service delivery efficiency. Key lessons from these jurisdictions are that (a) integration improves speed, (b) centralisation improves transparency, (c) digital architecture reduces corruption risk, and (d) unified access increases uptake. Kenya already has the digital infrastructure capacity to implement such a system. The Unified Digital Youth Capital Portal is the backbone of the reform architecture. It enables: (a) Pillar I risk management, (b) Pillar III mentorship integration, (c) Pillar IV procurement visibility, and (d) Pillar V credit scoring reform. Without unification, reforms remain siloed. With unification, Kenya moves from fragmented youth financing to coordinated developmental finance.

PILLAR III: MENTORSHIP-LINKED LENDING

Capital must be paired with capability. As earlier noted, evidence across youth financing programmes in Kenya and comparable markets consistently shows that default rates correlate strongly with: (a) weak bookkeeping and financial management; (b) market access constraints; (c) absence of structured mentorship; (d) cash flow volatility; (e) poor inventory management; and (d) limited regulatory literacy. From this context, capital deployed without post-disbursement support becomes high-risk capital.

While NYOTA has attempted to link lending with mentorship, field experience shows a design perception problem. Many youths perceive mentorship requirements as bureaucratic hurdles

rather than growth instruments. Social media commentary, including reactions to NYOTA content on platforms such as [TikTok](#), shows that some beneficiaries view training as a pre-loan obstacle rather than an asset-building opportunity.²⁷

This behavioural misalignment reduces the quality of uptake and weakens programs' impact. To address the perception problem observed in NYOTA implementation for instance, (a) mentorship must be repositioned as: (i) an automatic growth accelerator; (ii) a performance-enhancing benefit; (iii) a competitive advantage; and (iv) a pathway to larger loan eligibility; and (b) Youth who complete mentorship milestones should qualify for: (i) incremental loan increases; (ii) reduced guarantee fee rates; and (iii) faster reapplication cycles.

This converts mentorship into an incentive mechanism rather than a compliance requirement. We propose its objective and its implementation below.

Objective

The objective of Mentorship-Linked Lending is to: (a) eliminate financial illiteracy, (b) reduce information asymmetry between lenders and borrowers, (c) improve enterprise survival rates, (d) reduce non-performing loan ratios, and (e) enhance creditworthiness progression. Specifically, this pillar aims to convert risk capital into structured growth capital.

Proposed Mentorship Model

It is recommended that all loans backed by the Youth Credit Guarantee Scheme (YCGS) above **KES 150,000** be automatically linked to the structured enterprise development framework and mentorship detailed below.

Six-Month Structured Mentorship Cycle

Each borrower must participate in (a) monthly structured mentorship sessions, (b) standardised curriculum covering bookkeeping, tax compliance, pricing strategy, inventory management, and digital marketing and (c) peer cohort forums.

The delivery modes shall be: (a) hybrid digital and in-person, (b) sector-based grouping, and (c) performance milestone tracking.

²⁷ See, for instance, the Post and comments in: <https://vt.tiktok.com/ZSmTxPbUA/>

The mentorship should balance pre- and post-disbursement needs to shift perception from gatekeeping to growth support.

Quarterly Financial Reporting

Borrowers must submit simplified quarterly reports covering: (a) revenue trends, (b) expense breakdown, (c) cash flow movement and (d) inventory turnover. Reports should be template-based and simplified through the Unified Youth Capital Portal.

The purpose of this reporting is to: (a) build financial discipline, (b) create real-time performance data, and (c) enable early intervention where distress signals appear.

It ultimately reduces default by addressing stress before insolvency.

Sector-Based Advisory Matching

Borrowers should be matched to mentors within their sector. For example, (a) agribusiness borrowers should be matched with agricultural value chain experts, (b) creative sector borrowers should be matched with digital marketing specialists, and manufacturing borrowers should be matched with production and logistics advisors. [The Inuka Enterprise Programme's](#) structured enterprise coaching framework is a good example of how this works, although the youth have limited knowledge and awareness about its existence.

The rationale is that sector matching increases relevance and credibility and improves revenue growth, whereas generic training reduces impact. Further ongoing engagement outperforms one-off workshops.

Implementing Stakeholders

Youth-based organisations, given their ability to resonate with the youth, can anchor coordination while leveraging institutional partners. These core stakeholders include:

- 1 Relevant Ministries.
- 2 Kenya Bankers Association.
- 3 Kenya National Chamber of Commerce.
- 4 Sector-based business associations.
- 5 Corporate volunteer programmes under CSR and ESG frameworks.

Expected Outcome

If properly implemented, Mentorship-Linked Lending is projected to deliver, (a) **lower default rates** since structured monitoring reduces early delinquency, (b) **higher business survival rates** since enterprises receiving ongoing mentorship demonstrate stronger resilience, (c), **improved formalisation** since quarterly reporting increases tax registration and compliance awareness, (d) **stronger credit progression** since youth borrowers build bankable profiles faster, and (e) **reduced fiscal pressure** since lower defaults reduce guarantee payouts under YCGS.

SME studies indicate that structured mentorship can reduce default probability by **20 to 40 per cent**, depending on sector and intensity.²⁸ In our case, even a conservative **15 per cent** reduction in default would materially strengthen the sustainability of the YCGS.

Risk Assessment and Mitigation

Mentorship Fatigue

Youth may disengage if mentorship is overly academic or repetitive. To mitigate this risk, consider integrating, among others, (a) practical case-based learning, (b) sector-specific relevance, (c) short, modular sessions, and (d) digital flexibility.

Administrative Overhead

Programme coordination may become bureaucratically heavy. To mitigate this risk, consider integrating, among others, (a) digital integration via Unified Portal, (b) standardised reporting templates, and (c) partnership outsourcing to accredited youth organisations.

Insufficient Mentor Quality

Poor mentorship quality undermines credibility. To mitigate this risk, consider integrating, among others, (a) the involvement of youth-based organisations who understand the youth

²⁸ See, among others, Shah M, Othman A and Mansor M, 'Mentoring and Organisational Performance: A Review of Effects of Mentoring on Small and Medium Enterprises' (2016) 2 Journal of Business and Social Review in Emerging Economies 143 <<https://doi.org/10.26710/jbsee.v2i2.31>>. see also, Modina M and others, 'Predicting SMEs' Default Risk: Evidence from Bank-Firm Relationship Data' (2023) 89 The Quarterly Review of Economics and Finance 254 <<https://doi.org/10.1016/j.qref.2023.04.008>>.

demographic, (b) an accredited mentor registry, (c) a performance-based evaluation, and (d) a corporate volunteer screening.

Cost Sustainability

Funding mentorship at scale may strain budgets. To mitigate this risk, consider integrating, among others, (a) corporate co-funding, (b) volunteer expert networks, (c) blended donor technical assistance, and (d) integration into corporate CSR budgets.

International Benchmarking

Structured mentorship-linked lending has demonstrated measurable impact in (a) [German Sparkassenstiftung](#) for International Cooperation in countries like Zambia (b) [Futurepreneur Canada Mentorship & Loans Program](#) and (c) [Rwanda youth enterprise advisory-linked financing](#). Common success factors in these jurisdictions include (a) post-disbursement support, (b) sector-specific matching, (c) monitoring and feedback loops, and (d) behavioural incentive integration. Kenya can adapt these models within a YCGS-backed financing architecture.

Mentorship-Linked Lending ensures that Capital does not flow into fragility and Guarantees are not consumed by avoidable defaults. This Pillar strengthens (a) Pillar I by reducing guarantee exposure, (b) Pillar II through structured reporting integration, (c) Pillar IV by preparing youth for corporate procurement, and (d) Pillar V by building stronger credit histories. This Pillar transforms the system from reactive lending to developmental finance.

PILLAR IV: CORPORATE YOUTH PROCUREMENT TARGETS

Public finance alone cannot sustainably resolve youth capital exclusion. Government budgets face structural constraints, and while development partner funding is catalytic, it is also finite. The largest untapped pool of opportunity lies in corporate procurement markets. Large corporations in Kenya collectively control hundreds of billions in annual procurement expenditure. Yet youth enterprises access only a marginal fraction of these supply chains due to, among others, scale barriers, compliance complexity, limited visibility, working capital constraints, and the absence of structured inclusion targets.

To bridge this gap, this policy brief proposes a voluntary, structured corporate commitment in which large corporations allocate a minimum of **5 per cent** of their annual procurement spend to certified youth-owned enterprises.

Objective

Market access is the most sustainable form of empowerment, and there is therefore a need to emphasise revenue access rather than subsidies. The objective of this pillar, therefore, is to expand youth access to stable revenue streams, reduce overreliance on grants and concessional loans, integrate youth enterprises into formal supply chains, leverage private-sector capital without fiscal strain, and build commercially viable youth businesses

Economic Potential

The macroeconomic case is compelling. Assuming 100 large corporations, each with an annual procurement budget of **KES 10 billion**, a **5 per cent** allocation amounts to **KES 500 million** per corporation annually. Across 100 corporations, therefore, **KES 50 billion** is unlocked annually for youth enterprises. This figure exceeds annual youth grant allocations, dwarfs standalone government youth funds, generates predictable, recurring revenue, stimulates formalisation, and expands the tax base. Further, unlike grants, procurement contracts build operational capacity, improve bankability, strengthen credit profiles and enable reinvestment and scaling.

This policy proposal, if implemented, transforms youth enterprises from beneficiaries into suppliers.

Incentives Architecture

Corporate adoption requires structured incentives rather than moral persuasion alone.

Tax Recognition

The policy brief proposes allowing qualifying corporations to claim a modest procurement recognition deduction or credit tied to verified youth procurement spend. The options include: (a) incremental tax deduction on verified youth supplier contracts, (b) preferential treatment in government tenders, and (c) accelerated expense recognition.

ESG Reporting Alignment

Environmental, Social and Governance frameworks increasingly shape capital markets. Youth procurement allocation can be: (a) recognised under Social Impact Reporting, (b) integrated into ESG scorecards, (c) reflected in sustainability reporting, and (d) highlighted in annual integrated reports. Further, aligning youth procurement with ESG positioning strengthens,

among others, (a) investor perception, (b) impact investment attractiveness and (c) global capital access

This effectively converts youth inclusion into a measurable governance metric.

Public Recognition Index

This policy brief proposes the establishment of a **National Youth Inclusion Procurement Index** ranking corporations by: (a) percentage of procurement allocated to youth, (b) timeliness of payment to youth suppliers, (c) capacity-building investment, and (d) Long-term contract commitments.

Public recognition mechanisms may include: (a) annual awards, (b) national ranking publication, (c) Presidential or Cabinet-level acknowledgement, and (d) Media spotlight features.

Implementation Framework

Certification Mechanism

It is proposed that youth enterprises must be: (a) registered businesses, (b) 51 per cent youth-owned, (c) tax compliant and (d) financially documented.

Certification may be managed through: (a) the Unified Digital Youth Capital Portal, (b) accredited verification bodies, or (c) the relevant Ministries collaboration.

Supplier Development Support

To prevent token participation, corporations should: (a) offer onboarding workshops, (b) simplify compliance requirements, (c) provide phased contract scaling, and (d) commit to fair payment timelines. This ensures meaningful inclusion rather than symbolic compliance.

Risk Assessment and Mitigation

Fronting

Older entities may misuse youth certification. To mitigate this risk, consider, among others, (a) requiring strict ownership verification, (b) annual compliance audits, and (c) maintaining a transparent registry.

Capacity Gaps

Youth enterprises may struggle to meet large-scale orders. To mitigate this risk, consider integrating, among others, (a) a phased contract threshold, (b) aggregated youth consortium bidding, and (c) mentorship-linked procurement integration.

Payment Delays

Delayed corporate payments can destabilise youth cash flows. To mitigate this risk, consider integrating, among others, (a) a 30-day payment requirement for certified youth suppliers, (b) invoice discounting partnerships with banks, and (c) integration with the YCGS.

Corporate Resistance

Corporations may view this as an administrative burden. To mitigate this risk, consider integrating, among others, (a) voluntary phased adoption, (b) ESG integration incentives, (c) tax recognition mechanisms, and (d) positive public visibility.

International Benchmarking

Comparable global practices demonstrate feasibility. [The United States Federal Supplier Diversity Programs](#) mandate set-asides for minority-owned and small businesses. South Africa integrates supplier diversity into its [Broad-Based Black Economic Empowerment framework](#). Kenya can adapt a youth-specific procurement inclusion model suited to its demographic realities. Unlike rigid quotas, this proposal emphasises: (a) incentivised participation, (b) ESG alignment, (c) market expansion and (d) measurable economic outcomes.

PILLAR V: CREDIT SCORING SYSTEM REFORM

The evidence alluded to earlier demonstrates that conventional scoring systems systematically exclude youth and first-time borrowers despite their ability to repay and that alternative credit assessment mechanisms can effectively identify creditworthy youth entrepreneurs while expanding access to capital.²⁹ The current credit scoring system is not a reflection of creditworthiness or repayment capacity, but rather an institutional design flaw that penalises market entrants.

²⁹ n 12.

Objective

To reform Kenya's credit scoring architecture to: (a) incorporate alternative data, (b) improve first-time borrower inclusion, (c) prevent lifetime exclusion from minor early defaults, (d) strengthen predictive rather than punitive scoring, and (e) expand youth eligibility without increasing systemic risk.

Reform Components

Alternative Data Integration Framework

Kenya should mandate and standardise the use of, among others, mobile money transaction histories, utility payment records, SACCO savings behaviour, digital marketplace earnings, E-commerce records and Tax compliance (PIN activity). This can be done through three phases as follows. First, a regulatory consultation should be undertaken by the responsible stakeholders, namely CBK, CRBs, Banks, Fintech Companies, and the Communications Authority of Kenya. Secondly, a framework should be issued following the consultations, and finally, phased implementation will follow.

Youth First-Time Borrower Scoring Band

Kenya should establish a distinct scoring band for youth aged **18–35** with no prior formal loans to prevent permanent exclusion from minor early credit missteps. The features of this band shall be (a) reduced penalty weighting for small first-time defaults, (b) structured probation scoring and (c) behaviour-based progression.

CRB Reform and Rehabilitation Window

Kenya should introduce an accelerated rehabilitation pathway for youth borrowers who repay outstanding balances, complete financial literacy training, and maintain positive repayment behaviour for **6-12 months**. This will result in a reduced CRB penalty weight post-compliance.

Youth Credit Score Transparency Portal

To improve financial literacy and transparency, Kenya should establish a simplified, youth-friendly access to (a) free annual credit score, (b) provide a clear explanation of scoring factors, and (c) enable digital dispute resolution.

Economic Rationale

Credit scoring reform reduces systemic inefficiencies in, among other ways, (a) better risk modelling improves lending accuracy, (b) more predictive models reduce default volatility, (c) inclusion expands the bankable population, and (d) formalisation increases tax compliance. Further, if even **15 per cent** of currently excluded youth become bankable, the expansion of eligible borrowers could increase SME lending by billions annually without increasing fiscal guarantees and lower the long-term need for public risk absorption.

Risk Assessment and Mitigation***Data Privacy Concerns***

Expanding alternative data integration may raise, among other concerns, (a) surveillance, (b) misuse of personal financial data and (c) weak consent mechanisms. To mitigate this risk, consider, among others, (a) requiring explicit opt-in consent, (b) strengthening compliance with the Data Protection Act, (c) subjecting it to independent oversight by the Office of the Data Protection Commissioner, and (d) integrating data minimisation standards.

Over-Extension of Credit

Easier scoring could increase youth over-borrowing. To mitigate this risk, consider integrating, among others, (a) mandatory affordability assessments, (b) loan caps linked to verified income flows and (c) Financial literacy requirements before the first formal loan.

Fintech Regulatory Arbitrage

Fintech firms may exploit alternative scoring without adequate oversight. To mitigate this risk, consider integrating, among others, (a) CBK regulatory sandbox oversight; (b) uniform reporting standards across banks and Fintech firms; and (c) quarterly compliance audits.

Moral Hazard from CRB Rehabilitation

Youth borrowers may perceive relaxed scoring as leniency. To mitigate this risk, consider integrating, among others, (a) rehabilitation only after full repayment, (b) mandatory financial literacy completion and (c) a progressive scoring model rather than an automatic reset.

Institutional Resistance

Banks may resist reform due to risk concerns or the cost of system changes. To mitigate this risk, consider integrating, among others, (a) regulatory directive from CBK, (b) tax incentives for early adopters and (c) pilot performance data to demonstrate default stability.

Digital Exclusion

Rural youth without digital transaction histories may remain excluded. To mitigate this risk, consider integrating, among others, (a) SACCO and cooperative data inclusion, (b) integration of agricultural cooperative records and (c) hybrid scoring combining community-based data.

International Benchmarking

India has significantly expanded credit inclusion through its digital financial infrastructure built around the Reserve Bank of India, the Unique Identification Authority of India, and digital payment platforms such as [Unified Lending Interface](#) and [India's Account Aggregator Framework](#). This alternative data ecosystem has enabled millions of previously “thin file” borrowers, including youth and small traders, to access formal credit. India's digital credit ecosystem has significantly expanded MSME lending while maintaining manageable default rates due to predictive behavioural scoring models. Brazil undertook a major credit reporting reform by introducing the [Positive Credit Registry](#), which is overseen by the Central Bank of Brazil. Unlike traditional credit bureaus that record only negative events (defaults), the Brazilian system records positive repayment behaviour, including utility payments, retail instalment purchases and telecom payments. China has pioneered the large-scale use of alternative data, for example, through the “3-1-0” [Lending Model pioneered by MYbank](#).

The international experience reveals several key lessons applicable to Kenya, including (a) alternative data significantly improves credit inclusion without necessarily increasing default risk, (b) positive repayment histories must be recognised, rather than relying solely on negative reporting, (c) digital infrastructure can support real-time credit risk modelling, particularly where mobile money ecosystems are well developed, and (d) regulatory oversight is essential to balance innovation with consumer protection and financial stability. Kenya is particularly well-positioned to implement such reforms, given the maturity of its digital financial ecosystem, including widespread mobile money usage and strong fintech innovation.

LEGISLATIVE AND REGULATORY RECOMMENDATIONS

The reforms proposed in this policy brief require targeted legislative and regulatory adjustments to ensure institutional durability, regulatory clarity and operational effectiveness. Without statutory anchoring, youth financing programs risk repeating the institutional weaknesses that have characterised several past initiatives, including fragmentation, political capture, weak risk management and limited private-sector participation.

Accordingly, this policy brief recommends a coordinated package of legislative amendments, regulatory directives and new statutory frameworks aligned with the five pillars of reform.

Public Finance Management Act Reform

Operationalising The Youth Credit Guarantee Scheme

Several government financing initiatives have struggled due to institutional placement within politically exposed funds. Embedding the youth guarantee mechanism within a statutory corporate structure shields the scheme from short-term political cycles while strengthening governance and transparency.

The Proposed Reform is:

- 1 **Section 58** of [the Public Finance Management Act](#) should be amended to establish the Youth Credit Guarantee Company (**YCGC**) as a specialised entity within the national Credit Guarantee framework. The YCGS should: (a) administer the youth guarantee pool, (b) manage risk-sharing arrangements with lenders, (c) coordinate with development partners, and (d) monitor portfolio performance.

Digital Government Platform Regulation

Operationalising the Unified Digital Youth Capital Portal

To implement Pillar II, the government should establish a statutory mandate for the Unified Digital Youth Capital Portal as the single national gateway for youth financing programs. Implementation may rely on regulatory instruments under (a) [the Public Finance Management Act](#), (b) [the Data Protection Act](#), and (c) digital governance policies under the Ministry of Information, Communications and the Digital Economy.

The Proposed Reform Measures are:

- 1 **Mandatory Integration of Youth Financing Programs:** all national youth financing initiatives, including NYOTA, Hustler Fund, Youth Enterprise Development Fund, Uwezo Fund and Women Enterprise Fund, should be required to operate through the unified portal.
- 2 **Transparency and Accountability Measures:** The portal should include (a) a real-time public dashboard of disbursements, (b) county-level data reporting, and (c) automated audit trails.

Financial Literacy and Mentorship Framework

Operationalising Mentorship-Linked Lending

To strengthen Pillar III, regulations should require that youth borrowers accessing higher-risk credit windows complete structured financial training that is relatable to the youth demographic. Implementation may rely on regulatory instruments, among others, (a) [the Public Finance Management Act](#), (b) [the Data Protection Act](#), and (c) [the Banking \(Credit Reference Bureau\) Regulations](#).

The Proposed Reform is:

- 1 Youth borrowers seeking loans above **KES 150,000** under the Youth Credit Guarantee Scheme should be required to complete either: (a) a Certificate of Prior Learning (RPL) in entrepreneurship, or (b) a structured business training module.

Procurement Reform

Operationalising Corporate Youth Procurement Targets

To support Pillar IV, procurement frameworks should be updated to create incentives for youth enterprise participation in large corporate supply chains. Reforms may be implemented through amendments or regulations under (a) [the Public Procurement and Asset Disposal Act](#) and (b) [the Income Tax Act](#).

The Proposed Reform Measures are:

- 1 **Youth Supplier Recognition Framework:** a certification system should be created to recognise **verified youth enterprises** eligible to participate in corporate youth procurement programs.

- 2 **Corporate Procurement Incentives:** Corporations allocating **5 per cent** of annual procurement expenditure to certified youth enterprises should receive (a) tax recognition, (b) ESG reporting benefits, and (c) national recognition through a public procurement index. These incentives encourage private-sector participation while avoiding rigid procurement quotas.

Credit Scoring and Financial Data Reform

Operationalising the Credit Scoring System Reform

Kenya's credit reporting framework requires modernisation to enable the use of alternative credit data and behavioural scoring models. To strengthen Pillar V, reforms should involve amendments and regulatory updates under [the Banking \(Credit Reference Bureau\) Regulations](#).

The Proposed Reform Measures are:

- 1 **Alternative Data Integration:** amend **Regulation 18** (Nature of information to be shared), **Regulation 24** (Other sources of information) and **section 11** of the **First Schedule** to mandate the inclusion of alternative financial data into credit scoring models. Such data provides a more accurate indicator of repayment behaviour than traditional collateral-based assessments.
- 2 **Youth Scoring Band:** Amend **Regulation 39** (Credit scores) to require distinct numerical expressions for youth (**18–35**), incorporating reduced penalty weights for first-time defaults. This band would (a) reduce penalty weighting for minor early defaults, (b) allow behavioural progression through repayment history, and (c) prevent lifetime exclusion from formal credit markets.
- 3 **Positive Repayment Reporting:** amend **Regulation 26** to require Credit Reference Bureaus to include positive repayment behaviour, not merely default records. This change would transform CRB systems from punitive registries into predictive financial identity systems.
- 4 **Access to Own Information:** amend **Regulation 38** to establish and maintain a digital **Youth Credit Score Transparency Portal** to address transparency and financial literacy gaps, making credit scoring accessible and understandable and reducing fraud, eliminating the need for multiple certificates and supporting the digital economy.

- 5 **Certificate of Clearance (CoC) Reform:** amend **Regulation 28(4)** to either eliminate, waive or subsidise cost barriers, introduce a validity period to reduce repeat purchases, and enable digital access.
- 6 **Materiality Thresholds for Negative Information:** amend **Regulation 18** to prevent the submission of negative credit information to a bureau where the amount in default does not exceed the materiality threshold prescribed by the CBK.

Credit Reference Bureau Rehabilitation Reform

Improving Borrower Re-entry into formal finance

Kenya's current credit reporting systems often impose long-term exclusion following small defaults. Reforms should be introduced through [the Banking \(Credit Reference Bureau\) Regulations](#) to create a structured rehabilitation pathway for youth borrowers.

The Proposed Reform measure is:

- 1 **Structured Rehabilitation Framework:** amend **Regulations 26, 34, 35, 39** and **63** to create an accelerated rehabilitation pathway for youth borrowers who: (a) repay outstanding balances, (b) complete financial literacy training, and (c) maintain **6–12 months** of positive repayment behaviour should qualify for accelerated CRB rehabilitation, including reduction of negative credit weightings and restoration of credit eligibility.

Coordinated Regulatory Oversight

Given the cross-sectoral nature of the reforms, implementation requires coordination among several key institutions, including (a) the National Treasury of Kenya, (b) the Central Bank of Kenya, (c) the Office of the Data Protection Commissioner, (d) the Kenya Revenue Authority and (e) the Public Procurement Regulatory Authority. We propose establishing a **National Youth Finance Reform Taskforce** to coordinate implementation and monitor the rollout of the legislative reforms.

IMPLEMENTATION ROADMAP

The reforms proposed in this policy brief require a phased, coordinated implementation strategy to ensure institutional readiness, regulatory compliance and financial sustainability. Rather than attempting immediate full-scale deployment, a sequenced reform approach

allows the Government, financial institutions, and development partners to progressively build the necessary infrastructure while managing fiscal and operational risk.

The proposed roadmap spans **five years (2026–2030)** and follows three strategic phases. This phased approach ensures that each pillar reinforces the others, creating a coherent national youth financing ecosystem rather than isolated interventions.

Phase I: Institutional and Regulatory Foundations (2026)

The first phase focuses on establishing the legal, institutional, and digital infrastructure required for implementation. The Key Actions in this phase involve:

- 1 **Legislative Amendments:** Parliament should introduce amendments to: (a) [the Public Finance Management Act](#) to establish the Youth Credit Guarantee Company (**YCGC**) and the Unified Digital Youth Capital Portal, (b) [the Banking \(Credit Reference Bureau\) Regulations](#) to support alternative credit scoring and CRB reforms and (c) procurement frameworks under [the Public Procurement and Asset Disposal Act](#) and [the Income Tax Act](#) to enable youth supplier participation incentives. These reforms provide the legal foundation for the Youth Credit Guarantee Scheme, the modernisation of credit scoring, and corporate procurement targets.
- 2 **Establishment of the Youth Credit Guarantee Company:** Following legislative approval, the Youth Credit Guarantee Company (**YCGC**) should be formally established under the oversight of Kenya's National Treasury. Key steps include: (a) appointment of the governing board, (b) development of risk management frameworks, (c) negotiation of participation agreements with financial institutions, and (d) establishment of monitoring and reporting systems.
- 3 **Development of the Unified Digital Youth Capital Portal:** The Government, through the Ministry of Information, Communications and the Digital Economy, should begin development of the Unified Digital Youth Capital Portal. Key features to be built during this phase include (a) a single national application interface for youth financing programs, (b) integration with KRA PIN verification, (c) CRB data integration and (d) borrower tracking dashboards. The estimated development cost of **KES 60–90 million** makes this initiative relatively affordable relative to the efficiency gains achieved through program consolidation.

- 4 **Regulatory Consultation on Credit Scoring Reform:** The Central Bank of Kenya should convene a regulatory consultation involving: (a) commercial banks, (b) credit reference bureaus, (c) fintech companies, (d) mobile network operators and (e) the Communications Authority of Kenya. The purpose of this consultation is to develop the Alternative Credit Data Integration Framework, which will guide the modernisation of Kenya's credit scoring system.

Phase I Outcome

By the end of **2026**, the country will have (a) enacted the core legislative reforms, (b) established the Youth Credit Guarantee Company, (c) launched development of the digital portal, and (d) agreed on the regulatory framework for credit scoring reform. This phase lays the institutional architecture for the youth financing ecosystem.

Phase II: Pilot Implementation and Market Activation (2027-2028)

Once the institutional framework is in place, the second phase focuses on testing and refining the policy architecture through targeted pilot programs. The Key Actions in this phase involve:

- 1 **Launch of the Youth Credit Guarantee Scheme Pilot:** The YCGC should launch a pilot program with selected Participating Financial Institutions. These may include commercial banks, microfinance banks and SACCOs. The pilot should initially focus on high-youth-entrepreneurship sectors, including agribusiness, digital services, manufacturing, and creative industries. The pilot phase should deploy approximately **KES 1.5 billion** from the guarantee pool to enable the government to test the tiered guarantee model.
- 2 **Launch of the Unified Digital Youth Capital Portal:** The portal will serve as the single national gateway for youth financing programmes, consolidating previously fragmented funding initiatives. During the pilot phase, the portal will be rolled out in selected counties representing diverse economic ecosystems, including (a) urban entrepreneurial hubs, (b) agricultural regions and (c) emerging digital economy centres. During Pilot the portal will initially deliver the following capabilities: (a) a Single National Application System, (b) Integrated Eligibility Screening (c) Real-Time Application Tracking (d) Public Transparency Dashboard of loan disbursements by county, sectoral allocation and gender and youth participation metrics and (e)

Mentorship Integration Interface for matching funded youth enterprises with approved mentorship providers under the Mentorship-Linked Lending Programme.

- 3 Deployment of Mentorship-Linked Lending Programs:** Loans above **KES 150,000** issued under the pilot scheme should be linked to structured mentorship programs. Implementation partners may include (a) the Kenya National Chamber of Commerce and Industry, (b) the Kenya Bankers Association, and (c) youth entrepreneurship organisations. These mentorship programs will provide financial literacy training, sector-specific advisory services and quarterly financial reporting support. The mentorship model ensures that capital deployment is accompanied by the development of entrepreneurial capabilities.
- 4 Corporate Youth Procurement Pilot:** The Government should launch a voluntary Corporate Youth Procurement Initiative to encourage major corporations to allocate **5 per cent** of procurement spending to youth enterprises. Participating corporations would receive recognition through a National Youth Procurement Index, which will publicly track participation levels. This initiative can be coordinated through the Kenya Private Sector Alliance.
- 5 Credit Scoring Reform Pilots:** Selected banks and fintech lenders should begin testing alternative credit scoring models that integrate: (a) mobile money transaction histories, (b) digital marketplace earnings and (c) SACCO savings behaviour. Pilot programs will allow regulators to assess whether alternative data improves loan approval accuracy and repayment performance.

Phase II Outcome

By the end of **2028**, Kenya should have: (a) a functioning Youth Credit Guarantee Scheme, (b) tested mentorship-linked lending frameworks, (c) operational alternative credit scoring pilots and (d) an emerging youth procurement ecosystem. The data generated during this phase will guide policy refinement before national scaling.

Phase III: National Scaling and Ecosystem Integration (2029-2030)

The final phase focuses on expanding successful pilot programs into a national youth economic empowerment framework. The key actions in this phase include:

- 1 Expansion of the Youth Credit Guarantee Scheme:** Following successful pilot results, the guarantee pool should be expanded from **KES 5 billion** to approximately **KES 15-**

20 billion through (a) additional government allocation, (b) development partner contributions, and (c) blended finance instruments. This expansion could unlock over **KES 100 billion** in youth enterprise lending across the financial sector.

- 2 **Full Deployment of the Unified Youth Capital Portal:** By 2029, all youth financing programs should be integrated into the national digital portal, including NYOTA, the Hustler Fund, the Youth Enterprise Development Fund, the Uwezo Fund, and the Women Enterprise Fund. The portal will become the single gateway for youth financial support, dramatically improving transparency and accessibility.
- 3 **National Adoption of Alternative Credit Scoring:** Following successful pilots, the Central Bank of Kenya should issue formal regulations requiring lenders to incorporate alternative data into credit scoring models. This reform will significantly expand the population of bankable youth entrepreneurs.
- 4 **Institutionalisation of Corporate Youth Procurement Targets:** Corporate youth procurement participation should expand to at least 100 large corporations, unlocking an estimated **KES 50 billion** annually in market access for youth enterprises. This level of private-sector engagement would significantly exceed the scale of most grant-based youth entrepreneurship programs.

Expected Outcomes by 2030

If successfully implemented, the proposed reforms could generate significant economic benefits, including: (a) financing **40,000** youth enterprises, (b) creating approximately **80,000** new jobs, (c) unlocking billions in private-sector lending, (d) expanding youth participation in national supply chains, and (e) strengthening Kenya's position as a regional hub for youth entrepreneurship. Most importantly, these reforms would shift youth economic policy away from short-term grant distribution toward sustainable market-driven financing mechanisms.

CONCLUSION

Kenya needs a capital system reform more than it needs more youth funds. Youth access to capital in Kenya must move from isolated micro-lending to a risk-shared, market-integrated financing architecture. This Policy brief is recommended as a macroeconomic growth policy for access to capital in Kenya. Specifically, by restructuring risk-sharing, digitising transparency, integrating mentorship, and unlocking corporate markets, Kenya can, among other benefits, expand GDP, broaden the tax base, reduce unemployment, strengthen fiscal resilience and advance **SDG 8**.

PolicyBridge KE submits this framework as an implementable, fiscally responsible and growth-oriented reform agenda for **2026–2030**.